EQUITY RESEARCH · COMPANY DEEP DIVE

Mastercard Incorporated (MA.US)

Financial Services · Credit Services

Large Cap (>$200B) · Report Date: November 02, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-11-02

UNDERWEIGHT

Composite · Valuation: SELL

Target $530.30 · -19.4% upside

Price $658.10

INVESTMENT HIGHLIGHTS

- **SELL** — blended target $530.30 (-19.4% vs $658.10); DCF 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- Moderate revenue expansion (14.0% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT $530.30	45%
FSA	Stable	Health +0.05 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.55 · 12m +20%	15%
Composite	UNDERWEIGHT	Score -0.19 · 50% confluence	—

Valuation anchor: -19% upside vs target; valuation rich but trend improving — wait for confirmation.

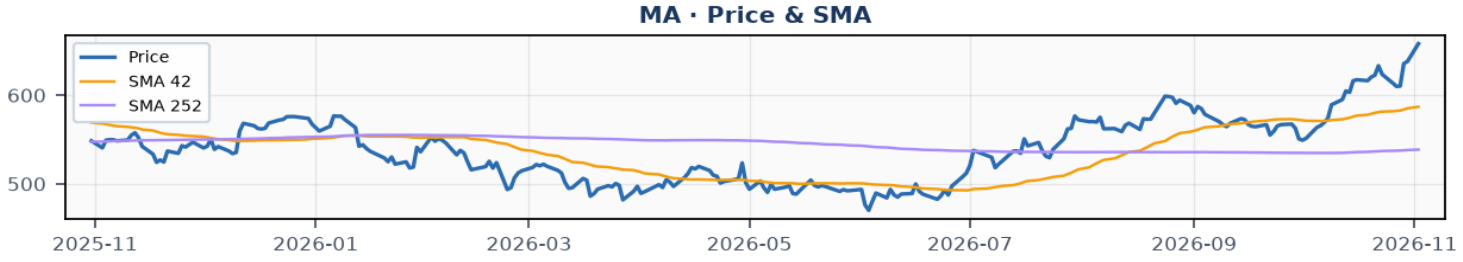
INVESTMENT THESIS / EXECUTIVE SUMMARY

Mastercard Incorporated (MA) — Financial Services. Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and... **SELL** rating; blended target $530.30. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$573.32B	Shares Out.	864.7M
52-Week Range	$464.52 – $661.34	P/E (TTM)	34.4x
P/B	85.0x	Beta	0.77
Avg Volume	2.93M	Analyst Rec.	Strong Buy
Revenue (TTM)	$36.29B	Rev Growth	+14.0%
Op. Margin	60.5%	FCF (TTM)	$16.43B
Gross Margin	100.0%	ROE	2.3%
EV/EBITDA	24.7x	Debt/Equity	355.2%
EPS (TTM)	$19.11	Div Yield	55.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	28,167	32,791	37,382	41,326	44,687
Revenue Growth (%)	N/A	16.4%	14.0%	10.5%	8.1%
Net Income ($M)	12,874	14,968	17,064	18,864	20,398
Gross Margin (%)	76.3%	77.9%	100.0%	100.0%	100.0%
Net Margin (%)	45.7%	45.6%	45.6%	45.6%	45.6%
EPS ($)	14.89	17.31	19.73	21.82	23.59
P/E (x)	44.20	38.02	33.35	30.17	27.90

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$586.89	Short-term trend	**12m Momentum**	+20.0%	
SMA (252d)	$538.56	Long-term trend	**3m Momentum**	+15.5%	
RSI (14d)	75.3	Momentum oscillator	**Ann. Volatility**	23.8%	
Trend	Bullish		**Sharpe Ratio**	0.49	Rf=4%
Golden Cross (20d)	No		**Max Drawdown**	-28.3%	
Death Cross (20d)	No		**Rel. Strength vs SPY**	+32.8%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 75 — overbought zone	**Quant Score**	+0.55	POSITIVE
			SMA Backtest (ann.)	15.7%	B&H; 20.6%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$487.38	-25.9%	80%	Included in blend
Comps — Blended	$298.68	-54.6%	0% (excluded)	Diverges below other methods (50% of median)
Analyst consensus	$701.98	+6.7%	20%	Included in blend
Blended target	$530.30	-19.4%	100%	DCF 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
8.24%	1.91%	12.00%	$421.41B	$487.38	-25.9%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AXP	American Express Compa	$219.93B	18.5x	N/A	16.8%	+11.3%
PYPL	PayPal Holdings, Inc.	$48.83B	11.2x	7.9x	13.8%	+2.0%
COF	Capital One Financial	$129.30B	12.9x	N/A	22.2%	+6.2%
DFS	DFS	N/A	N/A	N/A	N/A	N/A
MA*	Mastercard Incorporate	$573.32B	34.4x	24.7x	46.7%	+14.0%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (14.0% YoY); High operating leverage (60.5% margin); Defensive profile (β=0.77) · Risks: Elevated leverage (D/E: 355%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.